

Summary

It is important to remember that earnings ratios are not indicators of profitability. They advise an investor on the earnings made per share, the dividend policy of a company, and the extent of income ploughed back into the company for its expansion, growth and replacement of assets.

It is critical that investors examine these ratios, especially the earnings per share and the dividend payout. The earnings per share would help one determine whether the market price of a share is reasonable. If the dividend payout ratios are very high investors must be concerned as it can indicate that the management of the company is not particularly committed to its longterm growth and prospects.

Profitability

The profitability of a company is of prime importance for an investor. Unless a company is profitable, it cannot grow; it cannot pay dividends; its value will not increase and it cannot survive in the long run.

Profitability ratios assist an investor in determining how well a particular company is doing *vis-a-vis* other companies within the same industry, and with reference to its own performance in earlier years. With the help of these ratios, an investor can evaluate the management's effectiveness on the basis of the returns generated on sales and investments.

While calculating and evaluating a company's profitability, an investor must bear the following in mind:

- As far as possible ratios must be calculated on average assets and liabilities and not on the assets or liabilities on a particular date. There can be large variations in these figures during the year which can distort results quite materially. Companies have also been known to window dress their balance sheets by either reducing or increasing assets or liabilities. Moreover, since profits are earned not on a particular date but over a year, ratios calculated on average assets and liabilities would portray a truer indication of the results achieved by a company.